

A. Introduction

In a considerable number of ICSID proceedings, and in particular those of recent years, the stakes are daunting. Disputes often involve claims for damages amounting to hundreds of millions, or billions, of US Dollars, and require arbitrators – typically, panels of no more than three individuals – to scrutinise crucial government decisions having important policy implications. In these circumstances, the following observation by *Eli Lauterpacht*, made in the context of international dispute settlement more generally, may be considered particularly apposite:

“A domestic lawyer [...] might be forgiven for thinking it strange that the international community, apparently so well-equipped with means of judicial settlement, appears to lack what seems to be a natural or inherent feature of national judicial systems, namely a comprehensive system of appeal.”¹

Recent debate indeed suggests that some participants in the field of international investment arbitration are no longer willing to accept the "strange" state of affairs, i.e. the lack of an appellate body competent to review investment awards. The United States' legislative branch seems particularly concerned about the matter. In the 2002 *Trade Promotion Act*, it instructed U.S. treaty negotiators "to improve mechanisms used to resolve disputes between an investor and a government through ... [the] establishment of a single appellate body to review decisions in investor-to-government disputes and thereby provide coherence to the interpretations of investment provisions in trade agreements."² Following that instruction, recent US investment treaties concluded with countries such as Chile, Uruguay or Singapore, as well as the 2004 U.S. Model B.I.T. envisage the establishment of an investment appeals tribunal to which investment disputes should be submitted. The Model B.I.T. e.g. provides in Article 28.10:

“If a separate multilateral agreement enters into force as between the Parties that establishes an appellate body for purposes of reviewing awards rendered by tribunals constituted pursuant to international trade or investment arrangements to hear investment disputes, the Parties shall strive to agree that such appellate body will review awards rendered under Article 34 of this Section in arbitrations commenced after the multilateral agreement enters into force as between the Parties.”³

“Within three years after the date of entry into force of the Treaty, the Parties shall consider whether to establish a bilateral appellate body or similar mechanism to review awards rendered under Article 34 in arbitrations commenced after they establish the appellate body or similar mechanism.”⁴

¹ *Lauterpacht*, Aspects of the Administration of International Justice, 99.

² Section 2102(b)(3)(G)(iv).

³ USTR, Model Bilateral Investment Treaty of the United States, Article 8.3 (b) (ii), available on the internet: <http://www.ustr.gov/assets/Trade_Sectors/Investment/Model_BIT/asset_upload_file847_6897.pdf> (visited on 15 May 2006).

⁴ *Ibid.*, Annex D.

The ICSID Secretariat has not ignored these signals. In its October 2004 Discussion Paper entitled "Possible Improvements of the Framework for ICSID Arbitration",⁵ it noted that by 2005, "as many as 20 countries [most of them ICSID parties] may have signed treaties with provisions on an appeal mechanism for awards rendered in investor-to-State arbitrations under the treaties."⁶ More importantly, the Secretariat took an active role in guiding the discussion, showing itself prepared to "pursue the creation of [...] an ICSID Appeals Facility",⁷ and putting forward rather concrete proposals for that option in an Annex.⁸

In the light of these proposals, some commentators suggested that the creation of an appeals facility would only be a matter of time.⁹ Subsequent responses have somewhat dampened the reformist spirit. With many governments voicing concern during informal debates in late 2005 and early 2006, ICSID officials seem to have discarded any immediate plans for the creation of an appeals facility, noting that its earlier proposals had been considered by many as 'premature'.¹⁰ Be that as it may, there is little indication that calls for an appeals facility should have been taken off the agenda. From an academic point of view, the newest developments may even be beneficial, as they reduce time-pressure and allow for a more settled debate of the matter. More time indeed seems necessary, as despite heated debates between supporters and critics of an appeals facility, the precise features of such an institution have never seriously been discussed. The following questions seem particularly relevant:

- (i) Would the future appellate body be a permanent, standing institution? (and if so, who would elect its members?);
- (ii) Would it be competent to hear appeals in *all* ICSID proceedings or only in some ICSID cases brought under treaties specifically providing for a two-level structure?
- (iii) Would it have the power to decide cases on its own, or rather review and possibly remand cases to panels for decision?
- (iv) Would the appellate process be a *de novo* decision, or merely a more or less thorough scrutiny of the previous decision? In particular, would the appellate body be bound by findings of fact of the first instance panel?

The present paper will address these matters only interstitially. In the main, it seeks to contribute to the more general debate of whether there should be an appeals facility at all. To that extent, it explores various arguments advanced by supporters of the reform, and assesses obstacles to such a reform. It should be noted at the outset that it does not cover investment arbitration in its entirety, but focuses on the ICSID

⁵ Possible Improvements of the Framework for ICSID Arbitration' (22 October 2004), available on the internet: <<http://www.worldbank.org/icsid/highlights/improve-arb.htm>> (visited on 15 May 2006).

⁶ *Ibid.*, para. 20.

⁷ *Ibid.*, para. 23.

⁸ *Ibid.*

⁹ Cf. Bishop, TDM 2/2005, 12: "Like it or not, an appellate body is on the way, and it is on the way very quickly."

¹⁰ Investment Treaty News: 'ICSID Member-Governments OK watered-down changes to arbitration process' (March 29, 2006), available on the internet: <<http://www.iisd.org/investment/itn/news.asp>> (visited on 15 May 2006). Cf. already the ICSID Working Paper 'Suggested Changes to the ICSID Rules and Regulations' (12 May 2005), available on the internet: <<http://www.worldbank.org/icsid/highlights/sug-changes.htm>>, para. 4 (visited on 15 May 2006).

system established by the Washington (ICSID) Convention,¹¹ the ICSID Rules¹² and the Additional Facility Rules¹³. While some alternatives to an ICSID appeals facility are considered, no attempt is made to explore the potential role of WTO dispute settlement bodies, or the WTO more generally, in the field of international investment law.¹⁴ Lastly, given the many uncertainties about the precise features of an eventual appeals facility, it seems necessary to take a rather broad approach to the notion of 'appeal': before moving on to specific proposals for an ICSID appeals facility, it is therefore proposed to look more broadly at current options for having ICSID awards reviewed (section B.). Subsequent sections then proceed to analyse the main arguments militating for or against the establishment of an ICSID appellate structure (sections C. and D.) and consider alternatives to such a structure (section E.).

B. Current Options for Reviewing Decisions

Before examining whether the system of investment arbitration should be modified, it is necessary to look at the *status quo*. This section therefore assesses under which circumstances awards rendered by ICSID tribunals can at present be reviewed. As will become clear, even at present, the ICSID system allows for some form of reassessing awards, but deliberately excludes an appeal for substantive errors of law or fact. By exploring both aspects, the present section seeks to prepare the stage for the subsequent discussion of reform proposals, and highlights a special feature of the ICSID system. Perhaps as importantly, it introduces the crucial distinction between awards rendered under the ICSID Convention proper ("ICSID Convention awards"), and awards governed by the ICSID Additional Facility Rules ("Additional Facility awards").

I. ICSID Convention Awards

Awards rendered under the ICSID Convention can only be attacked by the procedures provided by the Convention itself. In particular, Article 54 of the Washington Convention obliges States to treat pecuniary¹⁵ awards as if they were final judgments of the State's own courts. For the purposes of recognition and enforcement,¹⁶ the

¹¹ 575 U.N.T.S. 159; also available on the internet: <<http://www.worldbank.org/icsid/basicdoc/basicdoc.htm>> (visited on 15 May 2006).

¹² Available on the internet: <<http://www.worldbank.org/icsid/basicdoc/basicdoc.htm>> (visited on 15 May 2006).

¹³ Available on the internet: <<http://www.worldbank.org/icsid/facility/facility.htm>> (visited on 15 May 2006).

¹⁴ On that issue see e.g. Kurtz, University of Pennsylvania Journal of International Economic Law 23 (2002), 713-789; Sidhu, ZEuS 2004, 335-366.

¹⁵ The express reference to pecuniary obligations implies that non-pecuniary injunctions are not covered by ICSID's enhanced enforcement regime: see Toope, Mixed International Arbitration (1990), 245-246.

¹⁶ The Convention regime is less ambitious with respect to State immunity from execution: As Article 55 clarifies, Article 54 does not oblige States to enforce judgments which could not be enforced because of immunity from execution. For an explanation cf. the Report of the Executive Directors, 1 ICSID Reports, 32.

ICSID Convention thus excludes any outside re-assessment of awards, or possibility of *vacatur*, by national courts. Clearly, this autonomy – which many unfortunately keep referring to as the ‘self-contained nature’ of the ICSID system¹⁷ – is one of the most important features of the ICSID Convention.¹⁸ While many arbitral systems declare awards to be final, ICSID awards, seen from an outside perspective, are clearly more final than others. When the Convention was drafted, this was generally regarded as a major advantage of the ICSID system over other forms of international arbitration; to date it is considered one of the reasons for the system's success.

However, Article 54, rendering ICSID Convention awards immune against national courts interference, is only part of the picture. It is one feature of a careful compromise struck during drafting. The other main feature of that compromise is equally relevant: internally, i.e. by mechanisms set out in the Washington Convention itself, ICSID awards *can* be reviewed. Unlike many other international dispute settlement mechanisms, the ICSID system to a limited extent permits the re-assessment of awards. This is important for present purposes because – as *Eli Lauterpacht's* introductory quotation shows¹⁹ – it is not common for international dispute settlement mechanisms to have review structures at all. Typically, decisions and awards by international courts and tribunals are subject only to narrowly described forms of rectification, revision and sometimes interpretation. Even before the present debate began, ICSID was different. In addition to rectification,²⁰ revision²¹ and interpretation,²² Article 52 of the Washington Convention permits for a special annulment procedure by *ad hoc* annulment committees. Without going into detail, that provision can be characterised as a form of systemic review of awards. The scope of that review, to be performed by annulment committees, has been the subject of much discussion over the years.²³ It depends first and foremost on the text of Article 52, which lists five procedural defects for which an award can be annulled: (1) the arbitral tribunal was not properly constituted; (2) it manifestly exceeded its powers; (3) a tribunal member was corrupt; (4) there was a serious departure from a fundamental rule of procedure, or (5) the award did not state the reasons upon which it was based.

At least at first glance, this list (which includes some rather vague notions such as "manifest excess of powers") may seem impressive. But Article 52 is important both

¹⁷ See e.g. *Smutney*, TDM 2/2005, 35; *Collier/Lowe*, 70. The term is problematic because it suggests more than the ICSID system could hold. Pursuant to the Shorter Oxford Dictionary, a self-contained regime would have to be “independent of external means” (Shorter Oxford Dictionary, 1973, Vol. II, 1933 [“self-contained”]). If at all, this could be said to apply the ICSID enforcement mechanism. For all other purposes, i.e. questions of applicable law, substantive investment law, questions of jurisdiction (e.g. in cases of conflicting forum selection clauses), a brief look at any ICSID award shows that arbitrators have frequent recourse to all forms of “external means”.

¹⁸ See *Lörcher*, *Neue Verfahren der Streitbeilegung im Wirtschaftssachen*, 507; *Schreuer*, *The ICSID Convention. A Commentary*, Art. 54 MN 2-3: “Art. 54 is one of the most important provisions of the Convention. [It] is one of the distinctive features of the ICSID Convention.”

¹⁹ See *supra*, fn. 1.

²⁰ Article 49 (2) ICSID Convention.

²¹ Article 51 ICSID Convention.

²² Article 50 ICSID Convention.

²³ For the most detailed assessment see the commentary on Article 52, in: *Schreuer*, *The ICSID Convention*, and the various contributions in Gaillard/Banifatemi (eds.), *Annulment of ICSID Awards*.

for what it says and for what it does not say. While allowing for an unusual review procedure on five specific grounds, it implicitly excludes other forms of review.²⁴ In fact, clear evidence suggests that the drafters intended annulment to be an exceptional remedy and that the five grounds were to be narrowly construed.²⁵ More importantly, they were adamant to prevent Article 52 from serving as a stepping stone for a substantive appellate procedure. As Article 53 (on which more will be said below) states, ICSID awards "shall not be subject to any appeal". As a consequence, the ICSID Convention draws a clear line between 'annulment' on the hand, and 'appeal' on the other.²⁶ In terms of the applicable standards governing systemic review, this means that Article 52 is only concerned with the procedural propriety of an award rather with its correctness as a matter of substance.²⁷

It is another question whether annulment committees, when called upon to review ICSID awards, have always followed this distinction. The first annulment committees seemed to take a broad view of their powers under Article 52, and interpreted notions such as 'manifest excess of power'²⁸ or 'failure to state reasons'²⁹ in a liberal way. Faithfully proclaiming that they were no appellate institution, the committees in the first *Klöckner*³⁰ and *Amco*³¹ annulment proceedings thus effectively performed a substantive review of the initial award.³² Although the second and third generation of annulment decisions³³ was informed by a more restrictive approach,³⁴ it seems fair to say that the scope of Article 52 remains controversial and that 'annulment jurisprudence' is still far from settled.³⁵ It may simply be that Article 52, by requiring committee members to turn a blind eye on a potentially wrong decision, asks too much of

²⁴ *Arnoldt*, *Praxis des Weltbankübereinkommens*, 184; *Amadio*, *Le contentieux international*, 240.

²⁵ For details see *Arnoldt*, *Praxis des Weltbankübereinkommens*, 184 *et seq.*

²⁶ *Schreuer*, *The ICSID Convention*, Art. 52 MN 8-12 and 392.

²⁷ *Franck*, *Fordham Law Journal* 73 (2005), 1521 (1547); *van den Houtte*, *Article 52 of the Washington Convention – A Brief Introduction*, in: *Gaillard/Banifatemi*, 11 (12); *Schreuer*, *The ICSID Convention*, Art. 52 MN 11.

²⁸ Article 52(1)(b) ICSID Convention.

²⁹ Article 52(1)(e) ICSID Convention.

³⁰ 2 ICSID Reports 95.

³¹ 1 ICSID Reports 509.

³² For a detailed assessment of annulment jurisprudence see *Schreuer*, *Three Generations of ICSID Annulment Proceedings*, in: *Gaillard/Banifatemi*, 17; *Schwartz*, *Finality at What Cost?*, *ibid.*, 43. For highly critical reactions to the *Klöckner* and *Amco* annulment decisions see e.g. *Redfern*, *Arbitration International* (1989/3), 98; *Reisman*, 1989 *Duke Law Journal* 739.

³³ See e.g. the annulment decisions in *MINE* (4 ICSID Reports 79), *Amco II* and *Klöckner II* (the "second generation") and *Wena* (41 ILM 933 [2002]) and *Vivendi* (41 ILM 1135 [2002]) ("third generation"). The awards in *Amco II* and *Klöckner II* have not been published; for brief comment cf. *Schreuer*, *The ICSID Convention*, Art. 52 MN 26 and 32.

³⁴ *van den Houtte*, *Article 52 of the Washington Convention – A Brief Introduction*, in: *Gaillard/Banifatemi*, 11 (15); *Schreuer*, *Three Generations of ICSID Annulment Proceedings*, *ibid.*, 17 (18). For arbitral support see especially para. 4.04 of the award in *MINE* (last footnote), where the *ad hoc* committee observed: "Article 52(1) makes it clear that annulment is a limited remedy. [...] Annulment is not a remedy against an incorrect decision. Accordingly, an *ad hoc* committee may not in fact reverse an award on the merits under the guise of applying Article 52."

³⁵ The debate between contributors to the volume edited by *Gaillard* and *Banifatemi* (*Annulment of ICSID Awards*, Huntington 2004) testifies to this. Contrast e.g. the *Schreuer's* positive assessment of the *Wena* and *Vivendi* decisions (e.g. 18: "[T]he ICSID annulment process has found its proper balance.") with the highly critical pieces by *Schwartz* (43-86) and *Cremades* (87-95).

highly qualified lawyers. But at least at the conceptual level, the limited nature of annulment under Article 52 is of crucial importance, and the distinction between annulment and forms of substantive review needs to be maintained.

In addition, ICSID also has a second level of addressing and settling disputes about the interpretation and application of the Convention. In Article 64 (which curiously is not often mentioned in the debate), it contains a standard compromissary clause providing for inter-State dispute settlement by the International Court of Justice in The Hague. There is much authority suggesting that Article 64 must not be used to undermine awards rendered by tribunals or to introduce an appeals option through the backdoor.³⁶ Also, the provision remains yet to be used in practice. However, it is part of the ICSID system of solving disputes about the scope of the Convention, and may be more relevant than is usually acknowledged.³⁷

In short, while more final than others from an external perspective, ICSID Convention awards are subject to some form of internal, systemic review procedure, and may be brought before the ICJ for interpretation. While not providing for a comprehensive appeals system, the Washington Convention thus regulates questions of review in a very differentiated manner, striking a careful balance between the need for finality on the one hand, and the possibility of review on the other.

II. Awards not Rendered under the ICSID Convention

The situation is different with respect to awards rendered outside the ICSID Convention. Additional Facility awards are not subject to an internal annulment procedure. While this might seem to strengthen awards, there is no equivalent to Article 54 of the ICSID Convention, which means that awards are not as such enforceable; instead, enforcement must be sought from national courts.³⁸ Before granting enforcement, national courts may however be competent to perform at least some form of review. More specifically, investment awards not governed by the ICSID Convention can be attacked: (i) at the seat of arbitration in a *vacatur* application, and (ii) at a place where enforcement is sought.³⁹ *Vacatur* applications are of course subject to the local arbitration law, and thus eschew any easy classification. At the risk of oversimplification, national laws tend to circumscribe the grounds for vacating awards rather narrowly.⁴⁰ In some countries (including Switzerland, France and South Africa), awards can only be set aside if they suffer from serious procedural defaults.⁴¹ Other national laws permit a limited review of the merits of an award, often by providing for

³⁶ See e.g. the references, in: Documents Concerning the Origin and Formulation of the ICSID Convention, Vol. II (1968), 423-424, 429-430, 438-440, etc. The drafters also clarified that recourse to the ICJ would not allow parties to frustrate ICSID proceedings: see *ibid.*, 906, 940, 993, 1030.

³⁷ For further comment see *infra*, section E.

³⁸ 'Enforcement' is used here to include the recognition of the award; for a similar use of terminology see e.g. *Collier/Lowe*, The Settlement of Disputes, 265.

³⁹ For a more detailed assessment of the points made in the following see *Franck*, Fordham Law Journal 73 (2005), 1521 (1548-1557).

⁴⁰ *Schreuer*, The ICSID Convention, Article 52 MN 5.

⁴¹ See *Franck*, Fordham Law Journal 73 (2005), 1521 (1552) with references.